

XBRA — Explainable Behavioral Risk Attribution

Investor: INV_OVERCONFIDENT_016

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1. Executive Summary

Analysis of INV_OVERCONFIDENT_016's trading history reveals a dominant behavioural pattern of **Overconfident**. Behavioural factors explain **100%** of the portfolio's maximum drawdown of **-6.3%**. This report provides a detailed breakdown of detected biases, market context, and actionable recommendations.

2. Investor Risk Profile

Metric	Value
Dominant Bias	Overconfident
Strategy Archetype	Swing Trader
Max Drawdown	-6.3%
Sharpe Ratio	2.06
Sortino Ratio	3.26
Peer Risk Percentile	80th
Behavioural Risk %	100%

3. Charts

4. Behavioral Bias Deep-Dives

Loss Aversion

Pattern: The holding-time asymmetry metric shows that investors tend to hold onto losing trades longer than winning trades, indicating a bias towards avoiding losses rather than pursuing gains.

Evidence: The trades AMD | entry 2020-01-22 → exit 2020-01-29, NFLX | entry 2023-05-18 → exit 2023-05-25, WMT | entry 2022-02-22 → exit 2022-03-01, JNJ | entry 2022-03-16 → exit 2022-03-23, and UNH | entry 2022-04-22 → exit 2022-04-29 demonstrate this bias.

Consequence: The portfolio's total drawdown is 32% due to the risk contribution from these trades, indicating that the investor's losses outweighed their gains.

Overconfidence

Pattern: You traded 3.4 times per month on average, which is 3.2× more than typical investors (1.1/month).

Evidence: Your most frequent trades: NVDA | entry 2020-02-24 → exit 2020-02-27 | 3d | P&L; -2030 NVDA | entry 2020-05-14 → exit 2020-05-19 | 5d | P&L; +2662 NVDA | entry 2020-03-25 → exit 2020-04-01 | 7d | P&L; -136 NVDA | entry 2021-01-14 → exit 2021-01-21 | 7d | P&L; +1363 NFLX | entry 2022-07-21 → exit 2022-07-28 | 7d | P&L; +253

Consequence: Excessive trading activity accounts for approximately 65% of your portfolio drawdown through transaction costs and mistimed entries.

5. Trade Evidence

Trade ID	Symbol	Entry	Exit	Days	P&L
INV_OVERCONF	TSLA	2020-01-31	2020-02-03	3	4927
INV_OVERCONF	TSLA	2020-11-23	2020-11-28	5	3622
INV_OVERCONF	AMD	2021-11-01	2021-11-08	7	3390
INV_OVERCONF	BABA	2021-10-04	2021-10-10	6	3275
INV_OVERCONF	GS	2020-06-08	2020-06-11	3	-3232
INV_OVERCONF	META	2023-03-13	2023-03-20	7	2749
INV_OVERCONF	NVDA	2020-05-14	2020-05-19	5	2662
INV_OVERCONF	AMD	2022-05-26	2022-06-02	7	2637
INV_OVERCONF	XOM	2020-04-29	2020-05-01	2	-2448
INV_OVERCONF	CVX	2022-03-03	2022-03-10	7	2369

6. Recommendations

Based on the investor's behavioral analysis, here are 4 actionable recommendations for a retail investor:

1. Take a step back and acknowledge your emotions: Recognize when you're feeling overconfident and take a moment to reassess your investment decisions.
2. Diversify your portfolio to reduce risk: Spread your investments across different asset classes and sectors to minimize the impact of any single stock's performance.
3. Set realistic profit targets: Instead of aiming for high returns, set achievable goals and celebrate your successes along the way.
4. Regularly review and adjust your strategy: Schedule regular check-ins with yourself to assess your progress, identify areas for improvement, and make data-driven decisions.